

BUY-SIDE RESEARCH: KASPI.KZ (NASDAQ: KSPI)

WHAT IF DBS, PAYNOW, SHOPEE, GRAB, AND SINGPASS WERE MERGED INTO ONE MACHINE?

TARGET TICKER:	Kaspi.kz JSC (NASDAQ: KSPI)	PRIMARY EXCHANGE:	NASDAQ Global Select
CURRENT PRICE:	USD 100.95 / ADS	MARKET CAP:	USD 19.07 Billion
VALUATION BASIS:	8.40x P/E 8.15% Dividend Yield	INVESTMENT ACTION:	STRONG BUY / MAX ACCUMULATE

THE KOPITIAM FINANCIAL JARGON DECODER

- **ROE (Return on Equity) — The Hawker Stall Multiplier:** Imagine setting up a Michelin chicken rice stall with \$10,000 equity. At year-end, after paying chickens, rice, and helpers, you pocket \$6,000 pure cash profit = **60% ROE**. Legacy banks generate 10%–12%; Kaspi operates at >45%–60%.
- **P/E Ratio — The Takeover Price Tag:** A Chinatown shophouse nets \$10,000/yr in rent and sells for \$84,000 = **8.4x P/E** (8.4-year cash payback). US tech giants trade at 35x–50x.
- **Take-Rate — The Mall Landlord's Cut:** Like CapitaLand charging turnover rent at Ion Orchard, Kaspi charges merchants a **16.1% fee** for delivering 100% of paying foot traffic.
- **NIM (Net Interest Margin) — The Money Spread:** Gathering cheap deposits (like POSB) and deploying them into high-velocity 0-0-12 consumer loans.
- **DRIP (Dividend Reinvestment Plan) — The Snowballing Kopi-O:** Automatically using quarterly cash payouts to buy more shares without allocating outside capital.

THE 60-SECOND PITCH: A DAY IN THE LIFE WITH KASPI

The Everyday Reality: Picture an ordinary citizen waking up in Almaty. You tap your phone to pay for your morning coffee via Kaspi QR. You take the metro using your Kaspi travel card. At lunch, you split the dining bill with four colleagues on Kaspi P2P in 3 seconds.

In the afternoon, your salary lands directly into your Kaspi Gold account. That evening, you buy a new refrigerator on Kaspi Marketplace on a 0-0-12 plan—zero interest over 12 months, zero paperwork, approved in 5 seconds. You renew your driver's license and pay your road tax inside the exact same app. In Kazakhstan, people do not say 'transfer me money'—they say '*Kaspi me*'. Kaspi is not a bank; it is the **digital operating system of an entire nation**.

1. THE SOVEREIGN BACKSTOP (THE TEMASEK OF THE STEPPES)

Western investors often dismiss Central Asia as an unstable frontier. The sovereign balance sheet reveals Kazakhstan is an **over-collateralized fortress**. The state holds **USD 132.60 Billion in sovereign assets and physical gold** against a domestic broad money supply (M2) of **USD 99.07 Billion**, representing a **133.8% hard asset coverage ratio** (compared to 60% for Singapore and 75% for Switzerland). Kazakhstan also controls **>43% of the world's primary natural uranium supply** via Kazatomprom—acting as the indispensable 'Nuclear OPEC' powering global clean energy and AI data centers.

Objective Commentary (Why Reserves & Devaluation Exist): *Why is Kazakhstan so cash-rich?* Having experienced severe commodity shocks in 1998 and 2014, the state legally mandates that surplus resource revenues flow into the National Oil Fund (NFRK), while the central bank exercises statutory pre-emption rights to buy 100% of domestic gold mine output.

Why does the Tenge devalue 4%–5% annually? This is an intentional macroeconomic stabilizer: when trading partners (Russia/China) devalue, Kazakhstan allows the KZT to drift downward to prevent foreign imports from crushing local factories, while collecting USD resource taxes that convert into more local KZT for pensions. Because Kaspi charges a fixed percentage take-rate (16.1%), nominal inflation and currency drift automatically lift Kaspi's revenue without capital expenditure.

2. THE THREE-SIDED MONOPOLY MOAT

Kaspi operates a dual-sided flywheel connecting 14 million consumers to over 600,000 commercial merchants. With a **69% Daily Active User (DAU/MAU) engagement ratio**, user retention is virtually permanent:

Platform Pillar	Scale / Volume	YoY Growth	Core Economics & Competitive Moat
1. Payments (PayNow)	USD 26.3B TPV	+13%	Processes >90% of national QR & P2P traffic; 69% daily user engagement.
2. E-Commerce (Shopee)	USD 4.8B GMV	+15% to +28%	16.1% Take-Rate ; Kasper AI driving +33% repeat buying frequency.
3. Fintech (0-0-12 POS)	USD 15.0B Loans	+18%	0-0-12 checkout loans funded by KZT 7T+ deposits; 5.4% NPL fully covered.
4. Turkish Spawner (Hepsi)	12M+ Buyers	Turnaround	85.2% stake; deploying Hepsi Bank 0-0-12 micro-lending to 85M consumers.

Objective Commentary (Why Merchants Pay 16.1% & Visa Can't Compete): *Why don't merchants rebel against a 16.1% take-rate?* Because Kaspi's 0-0-12 financing increases sales volume by 3x–5x. The merchant treats Kaspi's 16.1% cut as their combined marketing, payment processing, and credit guarantee budget. If a merchant unplugs Kaspi, foot traffic drops 70% overnight.

Why can't Visa/Mastercard dislodge Kaspi? Visa charges ~2% interchange fees on legacy POS terminals, whereas Kaspi built proprietary, zero-fee direct-settlement QR rails and distributed free merchant Smart POS devices nationwide, locking both ends of the transaction.

3. THE COILED SPRING: FLOATING RATE ARBITRAGE

The Landlord Analogy & Objective Rate Commentary: Think of Kaspi as a commercial landlord whose floating mortgage rate is about to plunge while tenant rental income remains locked high.

Why did rates reach 18.00%? The central bank aggressively hiked rates in 2022–2023 to halt currency panic and crush imported food inflation. This forced Kaspi to pay **14.50% on KZT 7.0 Trillion in retail deposits**, temporarily compressing its lending margins while holding 16.1% marketplace fees steady.

Why is rate cut flow-through so rapid? Kazakh consumer deposits are short-duration (3–12 months). As base rates fall, Kaspi immediately cuts deposit yields upon maturity, while consumer loan rates and marketplace fees stay constant. **Every 100 bps cut in deposit rates strips out ~USD 137 Million in interest expense**—dropping straight into pre-tax net income.

4. THE TURKISH SPAWNER (A FREE CALL OPTION ON 85M PEOPLE)

In 2025, Kaspi acquired **75.96% of Hepsiburada**, Turkey's leading e-commerce platform with 12 million active buyers. Hepsiburada posted a loss of -KZT 93 Billion in 2025 under high inflation. Kaspi is deploying **Hepsi Bank**, replacing third-party credit cards with its high-margin 0-0-12 checkout lending.

Objective Commentary (Why the Market Assigns \$0 Valuation): Institutional investors heavily discount Turkey due to persistent TRY currency volatility and fierce competition from Alibaba-backed Trendyol. Wall Street assumes Kaspi cannot export its closed-loop model to a competitive foreign market. However, because this skepticism is fully priced in at 8.4x P/E, any operational breakeven or modest profit from Hepsi Bank provides pure unpriced upside.

5. VALUATION DISCONNECT (ORCHARD ROAD ASSETS AT HEARTLAND PRICES)

Valuation Disconnect: P/E Payback Multiples vs. Global Peers

Kaspi trades at a single-digit multiple despite generating >50% ROE and an 8.15% cash yield.

Kaspi.kz (KSPI)		8.4x P/E (>50% ROE 8.15% Cash Yield Monopoly Lock)
Western Banks		11.5x P/E (11% ROE 3.8% Yield Legacy Branch Drag)
Sea Ltd (SE)		35.0x P/E (18% ROE 0.0% Yield Competitive SE Asia)
MercadoLibre		48.0x P/E (38% ROE 0.0% Yield Latin America)

Objective Commentary (Why Kaspi Trades at Only 8.4x P/E): 1) *Frontier Market Stigma:* Passive global funds categorize Central Asia as high-risk, ignoring national solvency numbers. 2) *Bank vs. Tech Misclassification:* Automated screening algorithms treat Kaspi as a traditional emerging-market credit bank (6x–8x P/E) rather than a software ecosystem (>30x P/E). 3) *Liquidity Float:* Dual-listing dynamics and founder-insider control limit Western sell-side coverage, creating a structural mispricing for long-term compounders.

6. THE 100-SHARE REAL-WORLD COMPOUNDING BLUEPRINT

Modeling a baseline retail allocation of 100 Kaspi ADS shares (Initial Capital: ~USD 10,095 / ~SGD 12,900):

Compounding Horizon	Projected DPS	Annual Cash Payout (100 u)	Monthly Equivalent	Portfolio Value (@ 12x P/E)
Today (2026 Baseline)	USD 8.00	USD 800.00 / yr (~SGD 1,020)	USD 66.60 / mo	USD 10,095.00
Year 3 (2029 Target)	USD 13.50	USD 1,350.00 / yr (~SGD 1,725)	USD 112.50 / mo	USD 16,200.00
Year 5 (2031 Base)	USD 17.20	USD 1,720.00 / yr (~SGD 2,200)	USD 143.30 / mo	USD 20,640.00
Year 5 (2031 Bull)	USD 22.97	USD 2,297.00 / yr (~SGD 2,935)	USD 191.40 / mo	USD 27,564.00

7. RISK & FAILURE VECTORS (WHAT CAN GO WRONG)

Failure Vector	Risk Level	Structural Reality & Downside Buffer
1. Turkish Execution Trap	Moderate	Hepsiburada drag continues. Buffer: Current stock price attributes zero valuation to Turkey.
2. Regulatory Interoperability	Low-Moderate	National QR caps merchant fees. Buffer: 0-0-12 shopping lock and consumer loyalty protect moat.
3. Oil Shock / KZT Devaluation	Moderate	Oil <\$50 drops Tenge. Buffer: 16.1% fee on nominal prices hedges revenue; USD 132.6B state reserves.
4. Key-Man Operational Risk	Low	Loss of Lomtadze/Kim. Buffer: Institutionalized management bench and deep product architecture.

8. MASTER EXECUTIVE SUMMARY & ACTIONABLE TARGET PRICES

- **Sovereign Fortress (Sec 1):** USD 132.6B in reserves covers 133.8% of M2; >43% of global uranium; zero sovereign default risk.
- **Monopoly Ecosystem (Sec 2):** 69% daily engagement; combines DBS + PayNow + Shopee + POSB into one national app.
- **The Coiled Spring (Sec 3):** Base rate cuts drop hundreds of millions in interest expense directly into pre-tax net income.
- **Turkish Growth (Sec 4):** Acquisition of Hepsiburada (85M population) is priced at USD 0.00 today.
- **Valuation Arbitrage (Sec 5):** 8.40x P/E with an 8.15% dividend yield provides a large margin of safety.
- **Compounding Engine (Sec 6):** 100 shares (~USD 10,095) generates USD 800/yr today, scaling to USD 1,720–\$2,297/yr via DRIP.

Execution Level	Target Price (USD)	Valuation Basis	Expected Return	Actionable Strategy
Accumulation Buy Zone	USD 85.00 – USD 105.00	7.0x – 8.8x P/E	Yield: 7.8% – 9.6%	Strong Buy. Primary capital entry window.
Fair Value Pivot Zone	USD 115.00 – USD 135.00	9.5x – 11.2x P/E	+15% to +35%	Hold & Compound. Automatic DRIP accumulation.
3-Year Target (2029)	USD 175.00	12.0x Forward P/E	+73.4% + Yield	Core rate cut profit expansion realized.
5-Year Bull Target (2031)	USD 240.00 – USD 275.00	12.0x – 14.0x P/E	+137.7% to +172.4%	Turkish Hepsiburada turnaround fully operational.
Downside Bear Support	USD 72.00 – USD 78.00	6.0x P/E Floor	Yield: ~11.0%	High sovereign asset buffer; buyback backstop.